

# **INSTITUTE OF ACTUARIES OF INDIA**

## **EXAMINATIONS**

**27<sup>th</sup> November 2024**

**Subject CP3 – Communication Practice**

**Time allowed: 3 Hours 30 Minutes**

**Total Marks: 100**

NewLife insurance company specializes mainly in long term savings products and has been selling both participating and non-participating products. The CEO of the company has received the following email from one of the policyholders complaining about low bonus rates while the equity markets are making new highs. The CEO said he has been receiving similar emails and feedback from the policyholders. He wants you, the Appointed Actuary to draft a letter which he intends to send to all participating policyholders. He thinks that this will help raise general awareness and educate policyholders on how participating products work. The letter should cover general principles behind bonus rate declaration and what should the participating product policyholders expect from this product. The gist of letter to CEO from Policyholders is as given below.

**"Dear CEO,**

***I am aware that your company has been in the industry for over 15 years and has been profitable for the past 5 years. I have bought your flagship participating product and have paid all due premiums till date in the last 5 years. The company recently declared its bonus rate for FY 23-24 and honestly, I am quite disappointed with it. The equity markets are making new highs and I was told by your company agent that participating product's policyholders benefit from gains in equity markets. Can you explain how these products work and the reason behind low bonus rates?***

**Regards,**

***Participating policyholder"***

.....

**Q.1** Draft a letter in about 850 words explaining how participating products work, the general principles behind bonus declaration and the reasons for the lower bonus declaration in the current year. **[95 Marks]**

**Q. 2** Explain how did you decide on the

a. Depth of the information to be provided to the policyholder **[3]**

b. Filtering information **[2]**

**[5 Marks]**

## Supporting materials

### 1. Participating products sold by the Company having following features.

It is a Non-Linked Participating Savings Plan.

Policy term is Minimum of 20 years, Maximum of 40 years, with maximum maturity age of 65 years

Death Benefit: 10 times of the Annual Premium

Bonus: Reversionary bonus declared every year as a % of Guaranteed Maturity Benefit with Terminal bonus on death/maturity

Minimum Premium: INR 25,000 p.a.

### 2. Reversionary Bonus declared (as a % of Sum Assured) in the flagship participating product for last 10 years along with y-o-y growth in NIFTY 50

| Year        | Reversionary bonus | Annual return on NIFTY 50 | Total return on the par fund |
|-------------|--------------------|---------------------------|------------------------------|
| <b>2013</b> | 2.00%              | 6.76%                     | 8.05%                        |
| <b>2014</b> | 2.00%              | 31.39%                    | 8.45%                        |
| <b>2015</b> | 2.00%              | -4.06%                    | 7.05%                        |
| <b>2016</b> | 2.25%              | 3.01%                     | 8.51%                        |
| <b>2017</b> | 2.50%              | 28.65%                    | 9.04%                        |
| <b>2018</b> | 2.50%              | 3.15%                     | 8.95%                        |
| <b>2019</b> | 2.75%              | 12.02%                    | 9.50%                        |
| <b>2020</b> | 2.75%              | 14.90%                    | 9.25%                        |
| <b>2021</b> | 2.75%              | 24.12%                    | 9.30%                        |
| <b>2022</b> | 2.75%              | 4.32%                     | 8.52%                        |
| <b>2023</b> | 3.00%              | 16.56%                    | 9.50%                        |

### 3. Excerpts from the Company note on bonus declaration,

Key principles the Company operates on for bonus declaration are:

- Asset share
- Smoothing
- Sustainability of bonus
- Policyholder Reasonable Expectation
- Investment freedom and competitiveness

Generally, for declaration of bonus rates the Company is governed by its Internal policy on Participating Products' Fund Management. The policy captures its interpretation of policyholders' expectations, asset shares, sustainability, philosophy on smoothing and investment freedom. Given below are the Par fund investment regulations approved by the Regulator.

IRDAI regulations for investing par product reserves

| No.   | Type of Investment                                                                                            | Percentage of Funds                     |
|-------|---------------------------------------------------------------------------------------------------------------|-----------------------------------------|
| (i)   | Central Government Securities                                                                                 | Not less than 25%                       |
| (ii)  | Central Government Securities, State Government Securities & other approved securities                        | Not less than 50% (including (i) above) |
| (iii) | Investment in housing and Infrastructure                                                                      | Not less than 15%                       |
| (iv)  | Other approved investments such as debt, equity, loans, immovable property, mutual funds, money markets, etc. | Not exceeding 50%                       |

- The Company computes Asset share and pegs its total payouts to asset shares. Asset share is the accumulation of the premiums received plus investment income earned from the inception of the policies, less deductions due to benefit payments, commission, expenses, tax, a reasonable cost of capital and of guarantees, contribution from miscellaneous surplus (if considered appropriate) and transfers to shareholders.
- For a given block of policies, the Company targets to payout 90-110% of asset share as bonus which includes Reversionary and Terminal bonus. The terminal bonus on maturity is set by looking at the difference between Asset share and benefits guaranteed till date (guaranteed benefits also includes bonus declared in the past). Deferring of reversionary bonus also helps the Company to generate higher income over the long term, which eventually is paid out in the form of Terminal bonus. The Company has articulated PRE to mean that is a general expectation of participating policyholders that the change in payouts over time is limited.
- Smoothing of total benefits over time is being done by pooling business both within and between generations and classes of policyholders. The intent of the Company is to maintain a steady rate of bonuses to the extent possible rather than trying to mimic the equity market.
- The company is distributing surplus through reversionary bonuses, and it enables to offer a smoothed level of returns. The payment of terminal bonus along with reversionary bonuses allows the company to have smooth reversionary bonuses and the terminal bonus can reflect the actual investment experience. The Company on an ongoing basis closely monitors the profitability and may also declare a one-off special bonus as and when it considers appropriate.
- The Company considers its past practice of smoothing in its decision of the degree of smoothing.
- The Company sets aside a smoothing reserve to help in managing the volatility in the surplus arising and declaration of the reversionary bonus rates. While the Company takes exposure to equity within a certain band, it does make the investment return volatile. The ability to reduce bonus rates following market falls would be guided by smoothing policy. Similarly, the ability to increase bonus rates post market rise would also be guided by smoothing policy. The Company believes the current equity market rally could be short lived and therefore would not want to pass on the benefits through bonus as of yet.
- Surplus arises out of various sources other than just investment, such as mortality, expense, lapses, etc. The company's bonus philosophy considers all profit drivers to compute bonus. The actual investment return is computed based on the weightage of each asset class.
- In the last 3-4 years, the Company suffered mortality losses due to the pandemic, however the Company still did not reduce the bonus rates, supported by the smoothing reserve.

- Other aspects which the Company considers are competition and marketability; based on how other players in the market are declaring bonuses, this company manages smoothing its bonus rates to keep its products marketable and competitive. In the past the Company's bonus rates have been at par or better than competitors.

Process of testing supportability of reversionary bonuses for the existing participating business

- The Company tests supportability of reversionary bonuses by comparing Gross Premium Valuation (GPV) of existing participating business with the realistic value of the assets backing these contracts. The GPV of the existing participating business is calculated on best estimate (BE) assumptions. To start with, the current rate of reversionary bonus rate is assumed for all future years for this purpose.
- Bonus once declared becomes a part of Guaranteed benefits under the policy and for this benefit the Company would need to invest in conservative instruments. An assumption is also made for the target percentage of terminal bonus. The investment return assumption is crucial. Calculations are done using different future investment scenarios. The Company considers investment returns based on market value of assets backing the participating fund. The scenarios in which asset shares are greater than liabilities would indicate the current rates of reversionary bonuses are supportable.
- For the current year the Company observed that the loss because of Covid was still not offset by the higher investment returns for the current year. For the bonuses in future to be sustainable it was considered that the reversionary bonus for the current year had to be reduced.

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